Note 7 - Income Taxes

We reduce federal and state income taxes payable by the tax benefits associated with the exercise of deductible nonqualified stock options and the lapse of restrictions on deductible restricted stock awards. To the extent realized tax deductions exceed the amount of previously recognized deferred tax benefits related to share-based compensation, we record an excess tax benefit. We record all excess tax benefits or deficiencies as income tax benefit or expense in the income statement. We recorded excess tax benefits of $28.6 million to our income tax provision in 2020, $23.5 million in 2019 and $15.3 million in 2018.

Income before income taxes and equity earnings is attributable to the following jurisdictions (in thousands):

	Year Ended December 31,		
	2020	**2019**	**2018**
United States	**$ 428,857**	$ 304,259	$ 278,311
Foreign	**22,817**	13,215	14,682
Total	**$ 451,674**	$ 317,474	$ 292,993

The provision for income taxes consisted of the following (in thousands):

	Year Ended December 31,		
	2020	**2019**	**2018**
Current:			
Federal	**$ 67,093**	$ 35,270	$ 39,504
State and other	**20,680**	17,168	14,609
Total current provision for income taxes	**87,773**	52,438	54,113
Deferred:			
Federal	**(1,298)**	4,154	4,676
State and other	**(1,244)**	(431)	(15)
Total deferred provision for income taxes	**(2,542)**	3,723	4,661
Provision for income taxes	**$ 85,231**	$ 56,161	$ 58,774

A reconciliation of the U.S. federal statutory tax rate to our effective tax rate on Income before income taxes and equity earnings is as follows:

	Year Ended December 31,		
	2020	**2019**	**2018**
Federal statutory rate	**21.00 %**	21.00 %	21.00 %
Change in valuation allowance	**(0.22)**	0.10	(0.13)
Stock-based compensation	**(6.34)**	(7.40)	(5.23)
Other, primarily state income tax rate	**4.43**	3.99	4.42
Total effective tax rate	**18.87 %**	17.69 %	20.06 %

The table below presents the components of our deferred tax assets and liabilities (in thousands):

	December 31,	
	2020	**2019**
Deferred tax assets:		
Product inventories	**$ 6,110**	$ 5,740
Accrued expenses	**4,101**	927
Leases	**50,301**	42,698
Share-based compensation	**8,730**	9,245
Uncertain tax positions	**3,266**	2,852
Net operating losses	**3,829**	4,807
Interest rate swaps	**3,023**	66
Other	**3,628**	2,889
Total non-current	**82,988**	69,224
Less: Valuation allowance	**(3,166)**	(4,794)
Component reclassified for net presentation	**(78,542)**	(63,699)
Total non-current, net	**1,280**	731
Total deferred tax assets	**1,280**	731
Deferred tax liabilities:		
Trade discounts on purchases	**2,218**	2,326
Prepaid expenses	**3,379**	2,821
Leases	**49,004**	41,418
Intangible assets, primarily goodwill	**34,244**	32,331
Depreciation	**17,350**	17,401
Total non-current	**106,195**	96,297
Component reclassified for net presentation	**(78,542)**	(63,699)
Total non-current, net	**27,653**	32,598
Total deferred tax liabilities	**27,653**	32,598
Net deferred tax liability	**$ 26,373**	$ 31,867

At December 31, 2020, certain of our international subsidiaries had tax loss carryforwards totaling approximately $13.6 million, which expire in various years after 2021. Deferred tax assets related to the tax loss carryforwards of these international subsidiaries were $3.8 million as of December 31, 2020 and $4.8 million as of December 31, 2019. We have recorded a corresponding valuation allowance of $2.9 million and $4.6 million in the respective years.

As of December 31, 2020, United States income taxes were not provided on earnings or cash balances of our foreign subsidiaries, outside of the provisions of the transition tax from U.S. tax reform enacted in December 2017. As we have historically invested or expect to invest the undistributed earnings indefinitely to fund current cash flow needs in the countries where held, additional income tax provisions may be required. Determining the amount of unrecognized deferred tax liability on these undistributed earnings and cash balances is not practicable due to the complexity of tax laws and regulations and the varying circumstances, tax treatments and timing of any future repatriation.

The following table summarizes the activity related to uncertain tax positions for the past three years (in thousands):

	2020	2019	2018
Balance at beginning of year	**$ 13,582**	$ 12,179	$ 9,937
Increases for tax positions taken during a prior period	**1,363**	771	76
Increases for tax positions taken during the current period	**2,721**	2,354	3,809
Decreases resulting from the expiration of the statute of limitations	**2,113**	1,390	1,603
Decreases relating to settlements	**—**	332	40
Balance at end of year	**$ 15,553**	$ 13,582	$ 12,179

The total amount of unrecognized tax benefits that, if recognized, would decrease the effective tax rate was $12.3 million at December 31, 2020 and $10.7 million at December 31, 2019.

We record interest expense related to unrecognized tax benefits in Interest and other non-operating expenses, net, while we record related penalties in Selling and administrative expenses on our Consolidated Statements of Income. For unrecognized tax benefits, we had interest expense of $1.0 million in 2020, $0.6 million in 2019 and $0.2 million in 2018. Accrued interest related to unrecognized tax benefits was approximately $2.7 million at December 31, 2020 and $1.7 million at December 31, 2019.

We file income tax returns in the U.S. federal jurisdiction and various state and foreign jurisdictions. With few exceptions, we are no longer subject to U.S. federal, state and local, or non-U.S. income tax examinations by tax authorities for years before 2017.